

Tentative Rulings for Department 502

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Tentative Ruling

Re: **Hayes vs. GSF Properties, Inc., et al.**
Superior Court Case No. 25CECG04191

Hearing Date: July 9, 2026 (Dept. 502)

Motion: By Defendants for Sanctions for Filing Frivolous Pleading in Violation of Code of Civil Procedure Section 128.7

Tentative Ruling:

To deny. (Code Civ. Proc. § 128.7.)

Explanation:

Defendants GSF Properties Inc., Trans Asian Investment Group, Inc., Stephen Kao, Maria Mcanally, Shannon Zepeda and Levon Baladjanian ("defendants") move for sanctions against plaintiff's counsel Reza Sina ("counsel") under Code of Civil Procedure section 128.7 because the First Amended Complaint ("FAC") contains fabricated quotations, nonexistent legal authority, and objectively unreasonable legal contentions.

Courts may impose sanctions for a pleading which was "filed for an improper purpose or was indisputably without merit, either legally or factually." (*Peake v. Underwood* (2014) 227 Cal.App.4th 428, 440.) Code of Civil Procedure section 128.7, subdivision (b) provides:

By presenting to the court, whether by signing, filing, submitting, or later advocating, a pleading, petition, written notice of motion, or other similar paper, an attorney or unrepresented party is certifying that to the best of the person's knowledge, information, and belief, formed after an inquiry reasonable under the circumstances, all of the following conditions are met:

(1) It is not being presented *primarily* for an improper purpose, such as to harass or to cause unnecessary delay or needless increase in the cost of litigation.

(2) The claims, defenses, and other legal contentions therein are warranted by existing law or by a nonfrivolous argument for the extension, modification, or reversal of existing law or the establishment of new law.

(3) The allegations and other factual contentions have evidentiary support or, if specifically so identified, are likely to have evidentiary support after a reasonable opportunity for further investigation or discovery.

(4) The denials of factual contentions are warranted on the evidence or, if specifically so identified, are reasonably based on a lack of information or belief.

(*Ibid.*)

Violations of Code of Civil Procedure section 128.7, subdivision (b) are tested objectively. (*Peake v. Underwood, supra*, 227 Cal.App.4th at p. 440.) A claim is "objectively unreasonable if 'any reasonable attorney would agree that [it] is totally and completely without merit.'" (*Ibid*, citations omitted.) Such sanctions are discretionary,

even where a claim is frivolous, and the court is to award such with restraint. (*Id.* at p. 448.)

Section 128.7 provides for a 21-day safe harbor provision “during which a party may avoid sanctions by withdrawing the offending pleading or other document.” (*Bucur v. Ahmad* (2016) 244 Cal.App.4th 175, 190.) “If a party does not take advantage of the safe harbor period by withdrawing a frivolous filing, a court has broad discretion to impose sanctions.” (*Ibid.*)

On January 8, 2026, defense counsel served plaintiff's counsel with a copy of the instant motion for sanctions. (Kandarian Decl., ¶ 10, Exh. F.) Counsel did not seek to withdraw or amend the pleading within 21 days of service of that motion. Counsel argues in the opposition that the motion is moot because the FAC has been superseded by the filing of a Second Amended Complaint (“SAC”) which omits all of the challenged allegations. On April 14, 2026, plaintiff and defendants stipulated that “that the attached SAC *can be filed* by Plaintiff” (emphasis added) and the stipulation was signed into an order by the court on April 20.

Aside from the fact that the proposed SAC still has not been filed, counsel's argument clearly misses the point. Counsel can only avoid sanctions by withdrawing the offending pleading within the 21-day safe harbor period. The stipulation to file a SAC was not submitted until more than three months after notice of the intent to seek sanctions was served. Because counsel did not withdraw the FAC, defendants were forced to file a demurrer and motion to strike the FAC, responding to allegations that counsel does not deny are frivolous. Because counsel failed to avail himself of the safe harbor, he cannot avoid sanctions under section 128.7.

Counsel does not dispute that the FAC contains “claims ... and other legal contentions [that are not warranted by existing law or by a nonfrivolous argument for the extension, modification, or reversal of existing law or the establishment of new law ...” The moving papers show:

1. The FAC asserts causes of action not recognized under California law – claims styled as “wage deprivation through housing termination,” “violation of public policy: illegal working conditions,” a cause of action under Health and Safety Code § 17031.5 [a statute providing no private right of action, but creating only a rebuttable presumption and defensive mechanism in limited possession proceedings];
2. The FAC asserts claims barred by a final court order and absolute privilege. The claims for wrongful eviction, tenant harassment, abuse of process, and conversion, are premised on an eviction that was carried out pursuant to a valid court order and writ of possession. (Kandarian Decl., ¶ 8, Ex. D; ¶ 11.) Claims that seek to impose tort liability based on conduct authorized by a final unlawful detainer judgment constitute an impermissible collateral attack and are barred as a matter of law. (See *Gombiner v. Swartz* (2008) 167 Cal.App.4th 1365.) Defendants contend, and counsel does not dispute, that “Plaintiff's claims for tenant harassment, wrongful eviction and forcible dispossession, and conversion of personal property are premised entirely on the act of dispossession itself—namely, the Sheriff's execution of a writ of possession issued in the unlawful detainer action—those claims are barred by *res judicata*.” And the defamation

claim is predicated on statements made in communications to the Employment Development Department ("EDD"), which qualify for absolute privilege as statements made in official or quasi-judicial proceedings. (Civ. Code, § 47(b); see *Hagberg v. California Federal Bank* (2004) 32 Cal.4th 350, 362 ["the privilege protect[s] communications to or from governmental officials which may precede the initiation of formal proceedings"].)

3. The FAC contains material misrepresentations of fact – that defendants' counsel sought a "global resolution" thirteen hours before a writ of possession was executed against plaintiff (FAC ¶ 185(e)) and plaintiff requested personnel records (FAC ¶ 42). Both allegations are false. (Kandarian Decl., ¶¶ 14-16, Exs. H-I.)
4. The FAC includes fabricated quotations and misleading legal citation. It includes direct quotations that do not appear in the referenced sources (FAC ¶ 25) and cites case law for propositions those cases do not support. Of all the frivolous allegations identified in the motion for sanctions, in the whole opposition counsel only disputes the latter – pertaining to a reference to *Karz v. Mecham* (1981) 120 Cal.App.3d Supp. 1. Defendants correctly show that *Karz* does not contain the proposition asserted in paragraph 25 of the FAC. Counsel claims that he was referring to the "progeny" of *Karz*, but does not point to any case supporting the claimed proposition.

Regardless of whether sanctions are appropriate for the *Karz* allegation, there is ample evidence of other frivolous, fake and false allegations in the FAC to justify an award of sanctions under section 128.7. Counsel does not dispute that all of the above (other than *Katz*) are frivolous claims and allegations. Sanctions are clearly warranted here.

The problem is that the motion fails to specify the sanctions to be imposed. The notice of motion states that "Defendants seek an order awarding reasonably attorneys' fees and costs incurred in responding to the FAC and in bringing this motion, together with such further relief as the Court deems appropriate to deter repetition of the offending conduct." But the sanctions amount is not specified, either in the notice, the memorandum of points and authorities, nor declaration of counsel in support of the motion (see Kandarian Decl.), where counsel would provide evidence of the attorneys' fees incurred.

A notice of motion must state what relief is sought and the grounds. (Code Civ. Proc., § 110; Cal. Rules of Court, Rule 3.1110(a).) Courts cannot grant different relief, or relief on different grounds, than stated in the notice of motion. (*People v. American Sur. Ins. Co.* (1999) 75 Cal.App.4th 719, 726.) On this record the court cannot impose sanctions in the sum of the expense of responding to the FAC and filing the motion for sanctions, as such information is not provided.

Pursuant to California Rules of Court, rule 3.1312(a), and Code of Civil Procedure section 1019.5, subdivision (a), no further written order is necessary. The minute order

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